

The Other Side

The people who disagree with Damodaran, the numbers behind their case, and what it means for the app

Prepared for Siddharth

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Contents

1	<i>How to read this document</i>	2
2	<i>The Other Side: Read Me First</i>	3
2.1	Why a critics reader exists	3
2.2	The honesty rule	3
2.3	The gaps in the local corpus	4
2.4	How to read this document	4
2.5	Terms you will meet	5
2.6	The one sentence to remember	6
3	<i>The Other Side, Chapter 1: His Own Dark Side</i>	7
3.1	The book in one paragraph	7
3.2	Where the material lives, and what is missing	7
3.3	The ten claims	8
3.4	The hard company types, and where the app will meet them	11
3.5	What he got right here	12
3.6	Three things to remember	12
4	<i>The Other Side, Chapter 2: His Misses with the Numbers</i>	12
4.1	How to read the tables	12
4.2	Tesla, 2013 to 2023	13
4.3	Nvidia, 2023 to 2025	14
4.4	Amazon, 2014 to 2018	14
4.5	Apple: Einhorn in 2013 and the whiplash of 2018	15
4.6	Uber, 2014 and 2019	16
4.7	Facebook, 2012	17
4.8	Zomato and Paytm, 2021 to 2022	18
4.9	Bitcoin and gold: a framework, not a call	19
4.10	What he got right	20
4.11	The pattern, in three lines	20
5	<i>The Other Side, Chapter 3: Academic and Practitioner Critiques</i>	20
5.1	3.1 Kruschwitz, Löffler and Mandl (2012): the country risk premium has no theory	21
5.2	3.2 Pablo Fernandez (IESE): there is no “the” risk premium, and beta is noise	21

5.3	3.3 Fama and French (1992): the beta and return relation is flat	22
5.4	3.4 Terminal value dominance and input sensitivity: his own published ranges	22
5.5	3.5 Mauboussin and Rappaport: run the model backwards	23
5.6	3.6 Marcos López de Prado: discretionary valuation is not science	24
5.7	3.7 Cliff Asness and AQR: cheapness works, except when it does not for a decade	24
5.8	3.8 Cathie Wood and ARK versus Damodaran on Tesla	25
5.9	3.9 Bill Gurley: twice, from both directions	25
5.10	3.10 Nassim Taleb: the distributions are wrong	26
5.11	3.11 Andrew Lo: the premium is not a constant	26
5.12	3.12 Ben Thompson and Aggregation Theory: the narrative critique from the other side	26
5.13	3.13 The 2024 to 2026 debate cluster	27
5.14	What he got right, in one list	28
5.15	The map from critique to feature	28
6	<i>The Other Side, Chapter 4: Twelve Episodes</i>	29
6.1	Words you need before the table	29
6.2	The twelve episodes	30
6.3	Notes a beginner needs on the table	35
6.4	Honorable mentions: the ones he won	35
6.5	What the scoreboard actually says	36
6.6	Gaps to fix before the app quotes this chapter	36
7	<i>The Other Side, Chapter 5: Reading Order</i>	37
7.1	Two words before the list	37
7.2	The 17 items	37
7.3	The suggested order	41
7.4	Time budget	42
7.5	Where each item lives, and what the app may do with it	42
7.6	How to read these as a beginner	43
8	<i>The Other Side, Chapter 6: What This Means for the App</i>	43
8.1	The rules at a glance	44
8.2	Rule 1: the reverse DCF comes first	44
8.3	Rule 2: log every valuation with a timestamp and score it later	45
8.4	Rule 3: the opposing narrative field is mandatory	45
8.5	Rule 4: terminal-value share and convergence are labeled inputs	45
8.6	Rule 5: always show the range, and make the truncation probability explicit	46
8.7	Rule 6: vintage-stamp everything, and show the stamp	46
8.8	Rule 7: the banner	46
8.9	Rule 8: the licensing line	46
8.10	Rule 9: estimates and ranges, never advice	47
8.11	What he got right, and why the rules are mostly his	47

1 How to read this document

This is document D of four. It exists because a system that only ever agrees with one man is a bad system. Damodaran himself wrote a book called “The Dark Side of Valuation”, and he grades his own misses in public; this document collects both his self-criticism and the criticism from academics, practitioners and the investors who bet against his numbers.

Read it after document C, so that you know what is being criticized. The chapters are in file order: a read-me on how to be fair; his own dark side in ten claims; his misses with the numbers; the academic and practitioner critiques; twelve episodes where someone disagreed and what happened; a reading list ordered for a beginner; and, last, the design rules the app inherits from all of this.

Where a number, date or link appears, it comes from the critics research report gathered for this project or from a post in the local corpus, and the “Source:” line says which. Where the corpus has a gap (the 2012 and 2025 blog years are missing; the three Dark Side decks are image PDFs), the text says so rather than filling it in.

2 The Other Side: Read Me First

This folder is the critics reader. It collects the best arguments against Aswath Damodaran and against the valuation method your system copies. It also collects his own admissions, with the numbers. The point is not to knock him down. The point is to make sure you never mistake a model for the truth.

A note on sources. Every paragraph in this folder ends with a “Source” line. “Report” means the local research file at Valuation/docs/sources/bkm2kob5x.txt, compiled 2026-09-14. “blog/” means the folder financeMD/damodaran/blog/. “Survey” means the corpus survey at Valuation/docs/sources/bfxevcj1s.txt. Where the Report used the live web, the chapter says so.

2.1 Why a critics reader exists

Your system will produce a number for a company. That number will look precise. A critics reader is the antidote to that false precision. Think of it as the list of known side effects printed on a medicine box. You still take the medicine. You just take it with your eyes open.

Damodaran is the best-known teacher of intrinsic valuation. Intrinsic valuation means estimating what a business is worth from its own cash flows, growth, and risk. The main tool is the discounted cash flow model, or DCF. A DCF forecasts future cash and shrinks it back to today using a discount rate. Your engine is a DCF, built from his public spreadsheet. So his weaknesses are your weaknesses, inherited at birth.

Source: Report, introduction and Part 1 (2026-09-14).

2.2 The honesty rule

This reader follows one rule. Every miss is reported with its numbers, and every win is reported too. The Report puts it plainly: a reader that only lists defeats is propaganda, not research. You should distrust any document that breaks this rule, including this one.

Source: Report, Part 4, honourable mention (2026-09-14).

2.2.1 What he got right, in short

- The 2020 COVID series. Between 26 February 2020 and 5 November 2020 he published fourteen posts titled “A Viral Market Meltdown”. All fourteen are in your local corpus. He kept valuing companies through the crash. He published the implied equity risk premium as it moved, reaching 6.01% on 1 April 2020. He refused to switch to pricing multiples. He purchased shares during the drawdown.

- The 2020 series also contains data against his own camp. On 24 April 2020 he wrote that the market was punishing low-PE, high-dividend stocks more than high-PE non-payers. His words: “That is disappointing news for value purists.” He published evidence that hurt his own tribe.
- WeWork, 2019. Two posts, at [blog/2019/11/the-softbank-wework-end-game-savior.md](#) and [blog/2019/09/insights-on-vc-pricing-lessons-from.md](#), called the private valuation wrong before the collapse.
- Tesla, on method. In June 2019 he wrote that ARK’s projection was “a forward pricing for Tesla, not a valuation”. His price calls on Tesla were wrong for years. That methodological objection has aged well.
- Uber, on conduct. When Bill Gurley beat his Uber estimate in 2014, he emailed Gurley to say he loved the post. Then he re-ran his own model on Gurley’s story and published both spreadsheets. Losing well is a skill, and he has it.

Source: Report, Parts 2.5, 2.9, 3.8 and 4 (2026-09-14); [blog/2020/04/a-viral-market-update-vii-mayhem-with.md](#) (2020-04-24); [blog/2019/06/teslas-travails-curfew-for-corporate.md](#) (2019-06-03); [blog/2014/07/possible-plausible-and-probable-big.md](#) (2014-07-16).

2.3 The gaps in the local corpus

Your local blog mirror holds 803 markdown files. The years present are 2008 to 2011, 2013 to 2024, and 2026. Two years are missing: 2012 and 2025. The Survey confirms the gap is in the original crawl, not just the copy. It estimates the hole at roughly 55 to 65 posts, including the entire 2025 data-update series.

Source: Report, corpus gap warning and “Local files used” (2026-09-14); Survey, lines 32 and 281 (2026-09-14).

Those two holes matter for this reader. The Facebook IPO valuation was published in February 2012. The Nvidia markdown after DeepSeek was published on 31 January 2025. Both episodes are cited in Chapter 2 from the live web, not from your files. If you build a chat feature over this corpus, it will confidently invent answers about those two years unless you backfill them first.

Source: Report, corpus gap warning (2026-09-14).

There is a second gap. Damodaran’s own “Dark Side of Valuation” material exists as three free PDF decks on his website. All three are image-heavy scanned decks. A normal PDF-to-text pass does not extract clean text from them. They need OCR, which means optical character recognition, software that reads letters from pictures. Chapter 1 lists the three links.

Source: Report, Part 1, free sources table and ingestion note (2026-09-14).

There is a third, smaller warning. One widely cited free copy of the main academic critique lives at a domain called [ivc-forum.org](#). That link now redirects to an unrelated website. Chapter 3 gives the safe alternatives. Do not put the stale link in any crawl list.

Source: Report, Part 3.1, link hygiene (2026-09-14).

2.4 How to read this document

The reader has seven chapters. The first four are the critique itself; the last three are the scorecard, the reading list, and what it all means for your product.

Chapter	File	What it holds	Read it when
0	00-read-me-first.md	The rules, the gaps, the glossary	Now
1	01-his-own-dark-side.md	His own book, in ten claims, plus the free decks	Before you touch the model
2	02-his-misses-with-numbers.md	Tesla, Nvidia, Amazon, Apple, Uber, Facebook, Zomato, Paytm, Bitcoin	When your model output feels too certain
3	03-academic-and-practitioner-critiques.md	The formal attacks on the method, and the live 2026 debates	When you choose an input and wonder if it is real
4	04-twelve-episodes.md	Twelve public disagreements, dated, with outcomes	When you want the scorecard in one table
5	05-reading-order.md	Seventeen sources, ordered for a beginner	When you are ready to read the critics themselves
6	06-what-this-means-for-the-app.md	The design rules the critiques force on the app	Before the first line of code

Three reading tips. First, every table in Chapter 2 compares his published value with the market price on the same day. Value is his estimate. Price is what people paid. The gap between them is the whole story. Second, stock splits change the numbers you see today. A split divides one share into several, so old prices look bigger than new ones. Chapter 2 shows the conversion each time. Third, do not skip the “his own words afterwards” sections. His admissions are the most valuable lines in the corpus.

Source: Report, Part 2 (2026-09-14).

A note on language. This folder reports what he and his critics did with their own money as history. It never recommends any action. Your system has the same rule, and a test scans every output for recommendation language. When a critic’s published estimate is quoted, it is quoted as a historical fact about that critic.

Source: Valuation/docs/plan.md, section 10.1, “No advice” (2026-09-14).

2.5 Terms you will meet

Term	Plain meaning
Intrinsic value	What a business is worth from its own cash flows, growth, and risk
Price	What the market paid on a given day; it can move with mood, value cannot
DCF	Discounted cash flow model; forecast cash, then shrink it back to today

Term	Plain meaning
Discount rate	The yearly haircut applied to future cash; higher risk means a bigger haircut
Risk-free rate	The return on a government bond assumed to carry no default risk
Equity risk premium (ERP)	The extra return investors demand for owning stocks instead of that bond
Implied ERP	The ERP that makes the market's current price equal to its expected cash flows
Country risk premium (CRP)	An extra premium added for operating in a riskier country
Beta	A number describing how much a stock moves with the whole market
CAPM	Capital asset pricing model; cost of equity equals risk-free rate plus beta times ERP
Terminal value	The value of all cash flows beyond the forecast years, folded into one number
TAM	Total addressable market; the size of the whole market a company could serve
Sales-to-capital ratio	Revenue generated per dollar of capital invested; sets how much growth costs
Failure probability	The chance the firm dies before reaching stable growth; used to trim the DCF
Stock split	Dividing one share into several; the company is unchanged, per-share numbers shrink
Sum-of-the-parts	Valuing each business unit separately, then adding them
Monte Carlo	Running the model thousands of times with random inputs to get a range
Reverse DCF	Starting from the price and solving for the assumptions it requires
PE ratio	Price divided by earnings per share; a quick gauge of how expensive a stock is
Pricing multiple	A shortcut that values a company by comparing a ratio such as price-to-earnings with peers, instead of forecasting cash flows

Source: Report, Parts 1 to 3 (2026-09-14). The definitions are written in plain English for this reader.

2.6 *The one sentence to remember*

The Report's thesis is one line from the AQR section. Being right on value and early is, over any investable horizon, indistinguishable from being wrong. Every table in Chapter 2 is an example of that sentence. Every critique in Chapter 3 is a reason it keeps happening.

Source: Report, Part 3.7 (2026-09-14).

3 The Other Side, Chapter 1: His Own Dark Side

Damodaran wrote a whole book about where his own method breaks. It is called The Dark Side of Valuation. This chapter turns it into ten claims. Each claim gets one sentence, a plain explanation, and a note on where it will show up in your app. Source names follow Chapter 0. “Report” is the critics research file. “Preface” is the local copy of his third-edition preface. “Survey” is the corpus survey. “Schema” is the model schema report for the fcffsimpleginzu workbook.

Source: Report, Part 1 (2026-09-14); Valuation/docs/other-side/00-read-me-first.md.

3.1 The book in one paragraph

The full title is The Dark Side of Valuation: Valuing Young, Distressed, and Complex Businesses. The third edition came out in 2018 from Pearson/FT Press, ISBN 9780134854243. It has five parts and twenty chapters: the tools, macro inputs, the life cycle, company types, and a finale. Chapter 20 is “Lighting the Way: Vanquishing the Dark Side”. Three things pushed him to a third edition. Interest rates had hit historic lows, and gone negative in places. Risk premiums had turned volatile, with a crisis almost every year. And globalization had stalled, so political risk mattered again.

Source: Report, Part 1 (2026-09-14); Preface, financeMD/damodaran/New_Home_Page/DSV3/dsv3edpreface.md.

What does “dark side” mean? In his preface the idea dates to late 1999, at the end of the dot-com boom. Standard models could not explain technology stock prices. So analysts dropped the models and justified prices with new metrics and storytelling. That is the dark side: abandoning the model when the company does not fit it. His preface says the temptation returns whenever “analysts have trouble fitting companies into traditional models and metrics”. The book is his answer: keep the model, and do the harder estimation honestly.

Source: Preface, financeMD/damodaran/New_Home_Page/DSV3/dsv3edpreface.md (accessed 2026-09-14).

3.2 Where the material lives, and what is missing

The three free Dark Side decks are not in your local corpus. The folder financeMD/damodaran/pdfiles/country/ holds one file, the 208-page India seminar val2dayIndia2025. The Report explains why. All three decks are image-heavy scans. A normal PDF-to-text pass returns nothing useful. They need OCR, which is software that reads letters out of pictures. Until then, this chapter quotes the preface, because the preface is clean text in the corpus.

Source: Survey, line 45 (2026-09-14); Report, Part 1, free sources table and ingestion note (2026-09-14).

Item	URL	Note from the Report
Core deck	https://pages.stern.nyu.edu/~adamodar/pdfiles/country/darkside.pdf	Short, start here
Full-day seminar deck (2012)	https://pages.stern.nyu.edu/~adamodar/pdfiles/country/darkside2012full.pdf	The most complete free version

Item	URL	Note from the Report
Extended “Jedi Guide” deck (2013)	https://pages.stern.nyu.edu/~adamodar/pdfiles/country/darksideextended13.pdf	About 3.5 MB, image-heavy, needs OCR
Third-edition preface and chapter map	https://pages.stern.nyu.edu/~adamodar/New_Home_Page/DSV3/dsv3edpreface.html	Free, and mirrored locally

Source: Report, Part 1, free sources table (2026-09-14).

One warning about names. The corpus also has `New_Home_Page/darkside.md`, a first-edition chapter list, and `New_Home_Page/darkside/darkside.md`, the first-edition book site that valued five technology firms: Amazon, Ariba, Cisco, Motorola and Rediff. They are history, not the current book.

Source: `financeMD/damodaran/New_Home_Page/darkside.md` and `darkside/darkside.md` (accessed 2026-09-14).

3.3 The ten claims

3.3.1 1. The dark side is not a different model, it is the same model with no data

When a company is young, losing money, or in trouble, he does not switch tools. He keeps the DCF (discounted cash flow model, which values a company as the sum of its future cash flows discounted to today) and makes every estimate harder and more explicit. In his 2014 Uber post he calls refusing to value uncertain companies a cop-out, because ignoring uncertainty does not remove it. Think of a doctor with a patient who has no medical history. The doctor still examines the patient, and labels each guess as a guess.

In the app: the memo writer will never refuse a company. It will name the uncertainty type and pull the matching Dark Side passages before proposing any input.

Source: Report, Part 1, bullet 1 (2026-09-14); `blog/2014/06/a-disruptive-cab-ride-to-riches-uber.md` (2014-06-09); `plan, Valuation/docs/plan.md`, item 4.

3.3.2 2. The risk-free rate is not risk-free

Chapter 6 is titled “A Shaky Base: A Risky Risk free Rate”. A risk-free rate is the return on a bond that cannot default. Governments can default, and some bonds carry negative yields. His fix is to subtract the default spread, the extra yield that pays for default risk. He now does this to the United States. His July 2026 post starts from an implied premium of 4.42%, with the S&P 500 at 7,499.36 on 1 July 2026. He nets out the 0.22% Aa1 default spread to reach a 4.20% mature-market premium.

In the app: the risk-free rate will be a labeled input with a vintage id, never a hard-coded number. One 2026 US snapshot holds three different risk-free rates (3.95%, 4.58% and 4.75%) and three different premiums (4.46%, 4.23% and 4.20%), depending on which of his files you open; the guide’s database chapter shows which goes with which. For India the rate will be the 10-year G-sec (Indian government bond) yield minus the India default spread.

Source: Report, Part 1, bullet 2 (2026-09-14); `blog/2026/07/country-risk-drivers-measures-and.md` (2026-07); `datasets catalog bafb6h9rb.txt`; `plan, M4` item 1.

3.3.3 3. The equity risk premium moves, so a fixed number is wrong by construction

The equity risk premium, or ERP, is the extra return investors demand for stocks over safe bonds. Chapter 7 argues it changes with time. He estimates an implied ERP, meaning the premium today's prices already contain. During COVID he republished it almost daily. On 1 April 2020 it stood at 6.01%, then 6.27% on stale earnings and 5.60% assuming a 30% earnings drop. The September 2026 value is 4.09%, with an expected return on US stocks of 8.84%.

In the app: every run will store three vintage ids, for market, country risk, and industry. The market-regime panel will plot his monthly implied ERP against history, descriptively only.

Source: Report, Part 1, bullet 3 (2026-09-14); blog/2020/04/a-viral-market-update-vii-mayhem-with.md (2020-04-24); regime spec in btzaixzyh.txt; financeMD/damodaran/pc/implprem/ERPbymonth.md.

3.3.4 4. Country risk is real, additive, and estimated by scaling default spreads

His method has three steps. Take the sovereign rating. Convert it to a default spread. Scale that spread up by the ratio of stock volatility to bond volatility, which was 1.55 in July 2026. The result is the country risk premium, or CRP, added on top of the mature-market premium. He admits the method is crude. In the same post he confesses to simplistic assumptions and cut corners, and says any fix must still work across 180 countries. That admission is the hinge of the academic attack in Chapter 3.

In the app: India's January 2026 row is Moody's Baa3, default spread 1.87%, total ERP 7.08%, CRP 2.85%. The July 2026 row is 1.75%, 6.92% and 2.72%. They are separate vintages and never mixed.

Source: Report, Part 1, bullet 4 (2026-09-14); blog/2026/07/country-risk-drivers-measures-and.md (2026-07); datasets catalog bafb6h9rb.txt.

3.3.5 5. Growth is not free, and it is not always good

Growth must be paid for with reinvestment, the money a company plows back into plants, stock and software. In the workbook, reinvestment equals the change in revenue divided by the sales-to-capital ratio. That ratio says how many units of revenue each unit of invested capital produces. A low ratio means expensive growth. Growth that earns less than its cost of capital destroys value.

In the app: sales-to-capital will be a labeled input whose default will come from the Global industry table. For Indian firms the fallback order will be India, then emerging markets, then Global, switching when a row has fewer than 10 firms. 27 of the 94 Indian industry rows are that thin.

Source: Report, Part 1, bullet 5 (2026-09-14); Schema, sections 1.3 and 6; datasets catalog bafb6h9rb.txt.

3.3.6 6. All good things end, so excess returns must converge

Excess return means earning more on capital than that capital costs. Chapter 20 is about the discipline of the endgame. In terminal value, return on capital must fall to the cost of capital, and growth must fall to the risk-free rate. The workbook enforces this by default. Terminal cost of capital equals the risk-free rate plus the mature-market ERP. The cell label says "+4.5%", but the formula adds the vintage's mature ERP, 4.23% for January 2026. Code the formula, not the label.

In the app: the three terminal overrides (stable cost of capital, stable return on capital, perpetuity growth) will be labeled switches, and turning one on will be recorded in the run.

Source: Report, Part 1, bullet 6 (2026-09-14); Schema, section 1.6 and note on the label mismatch.

3.3.7 7. A going-concern DCF over-values firms that can die

A DCF assumes the company survives to reach stable growth. Many young or indebted firms do not. So he bolts on a truncation term: a probability of failure, and what is recovered if it fails. His own settings: Tesla 2013 at 10% failure with 50% recovery; Tesla 2014 at 0%; Tesla 2019 at 20%; Uber 2014 at 10% with zero liquidation value. The workbook holds this in four cells: the switch, the probability, whether proceeds are tied to book or fair value, and the recovery percentage. Its Failure Rate worksheet offers priors, for example a 10-year default probability of 11.78% for a BB rating and 50.38% for CCC/C. That sheet has zero formula links; a human reads a number and types it in.

In the app: the truncation probability will be a required field in every memo, with its source. The BLS (US Bureau of Labor Statistics) business survival tables in the sheet are US data, so for India they will be a prior only.

Source: Report, Part 1, bullet 7 (2026-09-14); [blog/2013/09/valuation-of-week-1-tesla-test.md](#) (2013-09-04); [blog/2019/06/teslas-travails-curfew-for-corporate.md](#) (2019-06-03); Schema, sections 1.6, 3.5 and 6.

3.3.8 8. Cyclical and commodity firms must be normalized, not extrapolated

Chapter 14 covers companies whose earnings swing with the economy or a commodity price. Their base-year earnings are one point on a cycle, not a level. Normalizing means replacing this year's number with an average across a full cycle. The alternative is to forecast the commodity price itself. Either is allowed, but the analyst must disclose which. The simple ginzu workbook has no earnings normalizer; the full ginzu does.

In the app: the memo will state whether the base year was normalized, and how, before the calculator runs.

Source: Report, Part 1, bullet 8 (2026-09-14); Schema, section 5.

3.3.9 9. A DCF is trivially gameable, and he shows you how

His 25 March 2014 Tesla post is the strongest input-sensitivity critique in the literature, and it is his own. He compares a spreadsheet of cash flows to a costume: wearing the outfit does not make you a dancer. Then he sets the sales-to-capital ratio to 10.0 and the value per share jumps to \$302. His own estimate at that moment was about \$110 to \$115. That is a 2.7 times swing from one input.

In the app: every valuation will carry a sensitivity table and a Monte Carlo range (thousands of runs with randomly drawn inputs) drawn from his industry quartiles. Guard rails will reject inputs outside his published plausibility bands.

Source: Report, Part 1, bullet 9 (2026-09-14); [blog/2014/03/return-to-firing-line-revisiting-tesla.md](#) (2014-03-25); [read-this-first.md](#), sections 3.5 and 4.

3.3.10 10. Value is story plus numbers, and the story is the binding constraint

His test is possible, then plausible, then probable. A claim that cannot get past plausible does not earn its cash flows. Chapter 1 of Document C explains the test in full. Both camps attack this frame. Venture investors say his stories are too small. Quantitative critics say stories cannot be falsified. Chapters 3 and 4 contain those arguments.

In the app: only probable claims may set a base-case input. Plausible claims set a scenario. Possible claims are recorded at zero. A second, opposing memo per company will be mandatory.

Source: Report, Part 1, bullet 10 (2026-09-14); plan, item 4; Valuation/docs/damodaran-essentials/c1-why-value-story-and-the-3p-test.md.

3.4 The hard company types, and where the app will meet them

Company type	Book chapter	Why it is hard	What the app will do
Start-up or idea business	9, 10	No revenue, no history, high failure odds	Uncertainty type “young”, truncation probability required
Growth company	11	Fast revenue growth, margins not yet visible	Convergence year and target margin as labeled inputs
Mature company	12	Value hides in restructuring and control	Standard run; opposing memo tests the restructuring story
Distressed or declining	13	Negative growth, real bankruptcy risk	Failure probability and recovery percentage required
Cyclical or commodity	14	Earnings are one point on a cycle	Memo must state the normalization method
Financial service	15	Debt is raw material, regulation moves value	Synthetic rating (a credit rating estimated from interest coverage) uses the financial-service band (firm type 3)
Intangible-heavy	16	Accounting treats R&D as an expense	R&D converter switch, labeled
Emerging market	17	Country risk, currency, thin data	CRP vintage, INR risk-free rule, industry fallback recorded
Multi-business, global	18	Pieces interact across countries	Cost of capital by business weights and operating regions
Unusual entities	19	Infrastructure, sports teams, cryptocurrency	Out of scope for v1

Source: Preface chapter outline; Schema, sections 2.6, 3.4 and 6; plan, item 4 (2026-09-14).

3.5 What he got right here

Three things deserve credit. First, he wrote the gaming critique in claim 9 against himself, with his own numbers. Second, he publishes his failure probabilities, so anyone can check them years later, as Chapter 2 does. Third, claim 3 was tested live in 2020, when he republished the implied ERP through the crash instead of freezing it. Chapter 4 lists that series among his wins.

Source: Report, Parts 1, 2.1 and 4 (2026-09-14); Valuation/docs/other-side/04-twelve-episodes.md.

3.6 Three things to remember

- The dark side is a behavior, not a company type. It is abandoning the model when the model gets hard.
- Every one of the ten claims becomes a labeled input, a range, or a required field in your app. None becomes a bare point estimate.
- The three free decks need OCR before the librarian can quote them. Until then, quote the preface.

Source: Report, Part 1 (2026-09-14); plan, items 1, 2 and 4.

4 The Other Side, Chapter 2: His Misses with the Numbers

This chapter lists the times Damodaran published a value and the market went the other way. Every number comes from his own posts, as gathered in the critics research report. The chapter ends with two cases he got right, because a list of defeats alone would be propaganda. Chapter 4 covers who bet against him and what they won. This chapter covers only his numbers and his own words.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2 introduction and Part 4 honourable mention (2026-09-14)

4.1 How to read the tables

A few terms first.

- Value per share is what his model said one share was worth. Price is what the market charged that day.
- The gap between the two is his claim. When value sits below price, he is saying the market is paying too much.
- A stock split divides each old share into several new ones. Prices before a split look huge next to prices after it. Each section notes the split so you compare like with like.
- Market cap is the price of one share times the number of shares. It is the price tag on the whole company.
- TAM means total addressable market, the total sales a company could ever win. It drives most of the disagreements below.
- An IPO is the first sale of shares to the public. The IPO price is what the bankers set.

The tables also record his own trades. Those are historical facts about one man's account, and he reports them himself. They are not guidance for yours.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2 (2026-09-14)

4.2 Tesla, 2013 to 2023

Tesla is the longest record. He valued it about a dozen times in ten years. The price stayed above his value almost every time.

Date	His value per share	Price at the time	Local post (under financeMD/ damodaran/blog/)
4 Sep 2013	\$67.12	\$168.76	2013/09/valuation-of-week-1-tesla-test.md
25 Mar 2014	\$99.85 to \$118.47, stated as “between \$110 and \$115”	about \$210	2014/03/return-to-firing-line-revisiting-tesla.md
Jul 2015 (restated)	\$123 (\$19.5bn equity)	\$220 (\$33bn)	2016/07/tesla-story-meets-numbers-promise-meets.md
14 Jul 2016	\$151 (\$25.8bn)	\$33bn market cap	same post
11 Aug 2017	about \$192	\$365	2017/08/a-tesla-2017-update-disruptive-force.md
Jun 2018	\$170 to \$180	about \$360	recounted in the 2019 post
3 Jun 2019	about \$190 (failure probability raised from 5% to 20%)	about \$180; his order at \$180 filled	2019/06/teslas-travails-curfew-for-corporate.md
30 Jan 2020	\$427	\$581 close, \$650 after hours	2020/01/an-ode-to-luck-revisiting-my-tesla.md
30 Jan 2020	he sold at \$640	above \$900 within days	2020/02/a-do-it-yourself-diy-valuation-of-tesla.md
9 Nov 2021	\$571 (his most upbeat case)	above \$1,200 (\$1tn market cap)	2021/11/teslas-trillion-dollar-moment-valuation.md
26 Jan 2023	\$130 base, \$120 median	\$143	2023/01/tesla-in-2023-return-to-reality-start.md
1 Nov 2023	about \$180 (sum of parts)	\$197; he placed another order at \$180	2023/11/tesla-story-turns-and-twists.md

Split adjustment. Tesla split 5-for-1 in Aug 2020 and 3-for-1 in Aug 2022, which is 15-for-1 in total. He states it himself. His 2019 purchase at \$180 is \$12 in today’s shares. The Nov 2021 peak near \$1,200 is about \$410 in today’s shares.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.1 (2026-09-14)

His own words moved over time. On 3 Jun 2019 he wrote that his 2013 number “undershot the mark”, because he saw the market as luxury cars and underestimated the Fremont plant. On 6 Feb 2020, one week after selling at \$640, he wrote: “You may not believe me, but I don’t” have regrets. On 26

Jan 2023 he wrote: “I clearly timed my sale wrong”. On 1 Nov 2023 he wrote: “I profited mightily on that investment, but I sold too soon”. The 2014 post also shows how fragile the number was. Setting sales-to-capital, the dollars of revenue the company earns for every dollar it invests, to 10 moved his value from about \$110 to \$302 per share. His comment was “Magical, right?”

Source: financeMD/damodaran/blog/2019/06/teslas-travails-curfew-for-corporate.md (2019-06-03); blog/2020/02/a-do-it-yourself-diy-valuation-of-tesla.md (2020-02-06); blog/2023/01/tesla-in-2023-return-to-reality-start.md (2023-01-26); blog/2023/11/tesla-story-turns-and-twists.md (2023-11-01); blog/2014/03/return-to-firing-line-revisiting-tesla.md (2014-03-25)

4.3 Nvidia, 2023 to 2025

Date	His value per share	Price	What he did	Source post
23 Jun 2023 (value as of 10 Jun)	about \$240	\$409 on 10 Jun, \$434 on 20 Jun	sold half, summer 2023	blog/2023/06/ais-winners-losers-and-wannabes-nvidia.md
5 Sep 2024	about \$87	\$106, a 22% gap	sold another quarter, summer 2024	blog/2024/09/the-expectations-game-aftermath-of.md
31 Jan 2025	\$78, cut from \$87 after DeepSeek	about \$123	sold a further slice	not in the local mirror: https://aswathdamodaran.blogspot.com/2025/01/deepseek-crashes-ai-party-story-break.html

Split adjustment. Nvidia split 10-for-1 in Jun 2024, so his \$240 is about \$24 in today’s shares. That is why the mocking tweets about a “\$24” call are technically fair. On every date from 2023 to 2025 he called the stock overvalued. On every date the price was higher a year later. He never called it a short. A short is a bet that a price will fall. He sold slices of a position he already owned, and said so.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.2 (2026-09-14)

His words are relaxed about it. He bought in 2018, when “AI was not even a speck in my imagination”, and added that “being lucky often beats being smart” (23 Jun 2023). On 5 Sep 2024 he wrote that the gap was “far smaller than the divergence that I noted last year”. His closing line that day: “I am at peace with the decision made in the summer of 2023 to shed half my Nvidia shares”. And: “I am going to count that as a win and move on!”

Source: financeMD/damodaran/blog/2023/06/ais-winners-losers-and-wannabes-nvidia.md (2023-06-23); blog/2024/09/the-expectations-game-aftermath-of.md (2024-09-05)

4.4 Amazon, 2014 to 2018

Date	His value per share	Price	Source post
29 Oct 2014	\$175 (\$81bn equity); bull case \$345 at a 12.84% margin	\$295	blog/2014/10/if-you- build-it-revenues-they- profits.md
26 Apr 2018	\$1,019	\$1,460	blog/2018/04/ amazon-glimpses-of- shoeless-joe.md
Sep 2018	\$1,255	\$1,950	blog/2018/12/ investing-whiplash- looking-for-closure.md
Nov 2018 (re-run on a higher equity risk premium (ERP), the extra return investors demand for holding stocks over safe bonds)	\$1,212		same post

Split adjustment. Amazon split 20-for-1 in Jun 2022, so his 2018 value of \$1,019 is about \$51 in today's shares. The stock has traded at multiples of that since. In 2018 he also changed method. He split the company into Retail and Media, AWS, and Prime as a subscriber model, then added the parts. That is a sum of the parts valuation. It is an admission that one single DCF could not hold the story (a DCF, discounted cash flow model, adds up the cash a business will produce and discounts it to today). In the same post, a Prime fee rise from \$99 to \$119 added about \$100 per share to his value. One fee change, one hundred dollars. That is the sensitivity critique in a single line.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.3 (2026-09-14)

His words on 26 Apr 2018: "I have not been able to justify buying the stock at any time in the last five years, as it rose from \$250/share to \$1500". He then told readers not to take his word for it.

Source: financeMD/damodaran/blog/2018/04/amazon-glimpses-of-shoeless-joe.md (2018-04-26)

4.5 *Apple: Einhorn in 2013 and the whiplash of 2018*

Two words first. A short is a bet that a price will fall; you borrow shares, sell them, and hope to buy them back cheaper. To cover a short is to buy those shares back. Einhorn's iPref was a proposed new class of preferred shares that he said would unlock value.

Date	His value per share	Price	What happened	Source post
Dec 2012	\$609			Report, Part 2.4
27 Jan 2013		\$440	he had bought at \$500 and put a 90% probability on undervaluation	blog/2013/01/ are-you-value- investor-apple- test.md

Date	His value per share	Price	What happened	Source post
8 Feb 2013			on Einhorn's iPref plan he wrote "There will be NO value created.. none.."	blog/2013/02/financial-alchemy-david-einhorns-value.md
30 Apr 2013	\$588	\$420	called the roughly \$100bn extra buyback and dividend "vindication for those (like David Einhorn)"	blog/2013/04/apple-calm-after-storm.md
Oct 2018	about \$200	about \$220	shorted the stock	blog/2018/12/investing-whiplash-looking-for-closure.md
early Dec 2018		\$175	covered after "a month and four days", then bought back	same post

Split adjustment. Apple split 4-for-1 in Aug 2020, so his \$175 purchase is \$43.75 in today's shares. Apple is a mixed case. He was underwater for months in 2013. Then he was right: Apple compounded for a decade. The misses are the Einhorn concession and the 2018 round trip. His words on 3 Dec 2018: the trade left him with "a serious case of investing whiplash".

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.4 (2026-09-14); financeMD/damodaran/blog/2018/12/investing-whiplash-looking-for-closure.md (2018-12-03)

4.6 Uber, 2014 and 2019

This is the canonical public defeat. It is also the best example of losing well.

Date	Whose number	Value	Basis	Source
9 Jun 2014	Damodaran	\$5.895bn equity, against a \$17bn round	\$100bn taxi TAM growing 6% a year to \$183bn by 2024; 10% share; 20% take; 10% failure probability	blog/2014/06/a-disruptive-cab-ride-to-riches-uber.md; also "Uber Isn't Worth \$17 Billion" on FiveThirtyEight

Date	Whose number	Value	Basis	Source
11 Jul 2014	Bill Gurley	about \$148bn implied	\$1.3tn car-ownership-alternative market; network effects	https://abovethecrowd.com/2014/07/11/how-to-miss-by-a-mile-an-alternative-look-at-ubers-potential-market-size/
16 Jul 2014	Damodaran, re-run on Gurley's story	\$54bn	both spreadsheets published side by side	blog/2014/07/possible-plausible-and-probable-big.md
Dec 2014	reader template	under \$1bn to about \$100bn equity about \$61.7bn; \$54 per share, revised on 26 Apr to \$31 to \$33	depends on the story chosen	Report, Part 2.5
15 Apr 2019	Damodaran, pre-IPO	\$44.4bn, \$55.3bn with Didi, Grab and Yandex stakes	operating assets	blog/2019/04/ubers-coming-out-party-personal.md
10 May 2019	the IPO	\$45 per share, about \$82bn	fell to about \$14 in Mar 2020	Report, Part 2.5
Sep 2026	the market	about \$71.65, market cap about \$150bn; 52-week high \$101.99	web: stockanalysis.com, companiesmarketcap	Report, Part 2.5

The report's scoring: Gurley was right on direction by an order of magnitude. His level of \$148bn, as a 2014 value, is roughly where the company got twelve years later. Damodaran's own words on 16 Jul 2014: "If you had to pick one right now, I think Mr. Gurley's has the advantage over mine for at least three reasons". He emailed Gurley first to say he loved the post. He then used it as a teaching case.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.5 (2026-09-14); financeMD/damodaran/blog/2014/07/possible-plausible-and-probable-big.md (2014-07-16)

4.7 Facebook, 2012

Date	His value per share	Price	Source
Feb 2012	about \$27, re-run at the same level at the IPO	IPO priced at \$38 on 17 May 2012	https://aswathdamodaran.blogspot.com/2012/02/ipo-of-decade-my-valuation-of-facebook.html (2012 is missing from the local mirror)

Date	His value per share	Price	Source
Sep 2012		\$17.55	Report, Part 2.6; CNN op-ed of 28 May 2012
31 Jul 2013	value “risen from \$24/share at the depths of despair last August to about \$27.65/share”		blog/2013/07/facebook-hits-ipo-price-mood-swings-in.md
2021		above \$380	Report, Part 2.6

He was right for 15 months and wrong for a decade. The shape matches Amazon and Tesla: correct on the near-term overpricing, wrong on the long run.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.6 (2026-09-14); financeMD/damodaran/blog/2013/07/facebook-hits-ipo-price-mood-swings-in.md (2013-07-31)

4.8 Zomato and Paytm, 2021 to 2022

This pair is the most useful India case for your system. The model failed in both directions, in the same market, in the same quarter.

Date	Company	His value per share	Price or outcome	Source
22 Jul 2021	Zomato	₹41 (equity about ₹394bn, about \$5.25bn)	IPO price ₹76; listed up 51%, intraday ₹137; peak ₹169 in late 2021	blog/2021/07/the-zomato-ipo-bet-on-big-markets-and.md
27 Jul 2022	Zomato	₹35.32 base, ₹34.12 median; the Blinkit deal cut his value from ₹40.79	₹41.65	blog/2022/07/a-zomato-2022-update-value-pricing-and.md
2025 to 2026	Zomato, renamed Eternal		all-time high ₹311.6; market cap crossed ₹3 trillion; Goldman Sachs valued Blinkit alone at \$13bn, ₹119 per share against ₹98 for food delivery	Report, Part 2.7 (web)
Oct 2021	Paytm	about ₹2,000 (his stated threshold: market cap under ₹1,500bn, about \$20bn)	IPO priced at ₹2,150	blog/2021/10/the-indian-smartphone-revolution-paytms.md

Date	Company	His value per share	Price or outcome	Source
before listing	Paytm	Macquarie's Suresh Ganapathy published ₹1,200 with a negative rating		Report, Part 2.7
Jan 2022, Mar 2022, Feb 2024	Paytm	Macquarie cut to ₹900, then ₹450, then ₹275	₹713 by Jul 2022	Report, Part 2.7

On Zomato, the asset he marked down for became most of the value. On Paytm, a sell-side analyst with a simpler model was closer by a factor of about three, for three straight years. He volunteered the Paytm miss himself on 27 Jul 2022: “it behooves me to let you know that I also valued Paytm at close to ₹2000 per share, and the stock is currently trading at ₹713.” The report notes no public retraction on Zomato in the local corpus yet.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 2.7 and Part 4 row 6 (2026-09-14); financeMD/damodaran/blog/2022/07/a-zomato-2022-update-value-pricing-and.md (2022-07-27)

4.9 Bitcoin and gold: a framework, not a call

There is no value column here, because he never gave one. That is the point.

Date	What he said	Price context	Source
10 Oct 2008	gold, fine art and collectibles cannot be valued from cash flows		blog/2008/10/gold-fine-art-and-collectibles.md
20 Apr 2013	the same framework applied to gold		blog/2013/04/the-golden-rule-thoughts-on-gold-as.md
24 Oct 2017	bitcoin is a currency, not an asset	BTC about \$5,600 to \$6,000	blog/2017/10/the-bitcoin-boom-asset-currency.md
Jan 2026	framework re-run: “Data Update 3 for 2026: The Trust Deficit”		https://aswathdamodaran.blogspot.com/2026/01/data-update-3-for-2026-trust-deficit.html

His words on 24 Oct 2017: “bitcoin is not an asset, but a currency, and as such, you cannot value it or invest in it.” He added that you can only price it and trade it. He distanced himself from Jamie Dimon’s fraud claim. Fair scoring, per the report: the classification has not been falsified. The investment implication people drew from it cost them a 20x, since bitcoin rose by more than an order of magnitude. Both things are true.

Source: [financeMD/damodaran/blog/2017/10/the-bitcoin-boom-asset-currency.md](#) (2017-10-24); [Valuation/docs/sources/bkm2kob5x.txt](#), Part 2.8 (2026-09-14)

4.10 What he got right

4.10.1 The 2020 series

Between 26 Feb 2020 and 5 Nov 2020 he wrote fourteen “Viral Market” posts. All fourteen are in the local corpus under [blog/2020/](#). He kept valuing companies through the crash. He published the implied equity risk premium as it moved; it reached 6.01% on 1 Apr 2020. He refused to switch to pricing multiples (ratios such as PE, price divided by earnings per share). He bought during the drawdown. On 16 Mar 2020 he wrote that “Value on the other hand has both upper and lower bounds”, while prices have none. On 24 Apr 2020 he published data showing the market was punishing low-PE, high-dividend stocks more than high-PE non-payers. His words: “disappointing news for value purists”. He printed evidence against his own camp in the hardest month available.

Source: [financeMD/damodaran/blog/2020/03/a-viral-market-meltdown-iii-pricing-or.md](#) (2020-03-16); [blog/2020/04/a-viral-market-update-vii-mayhem-with.md](#) (2020-04-24); [blog/2020/11/a-viral-market-update-xiv-wrap-on-covid.md](#) (2020-11-05); Report, Part 2.9 (2026-09-14)

4.10.2 WeWork, 2019

On 17 Sep 2019 he wrote about how new listings inflate their TAM. Uber’s filing implied a TAM of \$5.71 trillion across 175 countries, and WeWork claimed \$3 trillion of office-space opportunity. On 15 Nov 2019 he analyzed SoftBank’s rescue as a sunk cost problem. A sunk cost is money already spent that should not sway a new decision. The post records SoftBank writing down its WeWork stake by \$4.6 billion, from a \$47 billion pricing to about \$8 billion with the new money. He called the private price wrong before the collapse, and the collapse came.

Source: [financeMD/damodaran/blog/2019/09/insights-on-vc-pricing-lessons-from.md](#) (2019-09-17); [blog/2019/11/the-softbank-wework-end-game-savior.md](#) (2019-11-15)

4.11 The pattern, in three lines

- He is usually right about the short run and wrong about the decade. Facebook, Amazon and Tesla share this shape.
- His errors are story errors, not arithmetic errors. Tesla’s factory, Uber’s market and Blinkit’s worth were all narrative calls.
- He publishes every value before the outcome, then publishes the scorecard, including the losses.

Your engine inherits the first two weaknesses. From M1 onward it will store every value with its date and its vintage ids, so that you can grade it later the way he grades himself. Chapter 6 turns that into design rules.

Source: [Valuation/docs/sources/bkm2kob5x.txt](#), Parts 2 and 6 (2026-09-14); [Valuation/docs/plan.md](#) (2026-09-14)

5 The Other Side, Chapter 3: Academic and Practitioner Critiques

This chapter collects the formal attacks on the method your engine copies. An academic critic publishes in a journal and argues from theory. A practitioner critic runs money and argues from results.

Both appear here, because both have been right about something. Every entry has four parts: the claim in one sentence, why it matters, his reply if any, and what the app will do about it. Chapter 2 covers his misses company by company. Chapter 4 keeps the scoreboard.

Source: Valuation/docs/sources/bkm2kob5x.txt, Part 3 (2026-09-14)

Below, “the Report” means that same file, compiled 2026-09-14. Nothing past milestone M0 is built yet, so every app feature is written as “will”.

5.1 3.1 Kruschwitz, Löffler and Mandl (2012): the country risk premium has no theory

The claim. The country risk premium (CRP), the extra return added for operating in a riskier country, has no theoretical basis and no empirical support.

The paper. Lutz Kruschwitz, Andreas Löffler (also written Loeffler) and Gerwald Mandl, “Damodaran’s Country Risk Premium: A Serious Critique”, *Business Valuation Review* 31(2 to 3): 75 to 84, March 2012. SSRN abstract id 1651466. Journal page: <https://meridian.allenpress.com/bvr/article/31/2-3/75/66392/>. Their conclusion: the CRP “is of no relevance in academic circles, has no theoretical basis neither is the CRP concept empirically supported.”

Why it matters. They attack all three of his routes to a CRP: the sovereign default spread, the relative volatility of the stock market, and the blend of the two. None comes from an equilibrium asset-pricing model, meaning a model where prices settle as investors trade risk against return. A global investor can spread country risk across many countries, so a CRP on top of CAPM may count the same risk twice.

His reply. A formal response in the same journal, volume 31, pages 85 to 86 (2012). His standing defense, restated in July 2026, is that treating a Brazilian and a Swiss company as equally risky is worse. His words: “whatever those improvements may be, they will have to work across 180 countries.” He also concedes, “I have made simplistic assumptions and cut corners.” Ernst and Gleißner extended the critique in SSRN 2888500.

Outcome. A split decision. Academia rejects the construct. Practice adopted it wholesale, because no maintained free alternative exists.

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What the app will do. It will use his 192-country table, but never silently. Every run will store a country-risk vintage id, meaning the dated snapshot of his data it used. For India the January 2026 vintage reads Moody’s Baa3, default spread 1.87%, CRP 2.85%, total ERP 7.08%. The July 2026 vintage reads 1.75%, 2.72% and 6.92%. The rupee risk-free rate will be the 10-year G-sec (Indian government bond) yield minus India’s default spread, so sovereign risk is not counted twice.

Source: the Report, Part 3.1 and Part 4 row 10 (2026-09-14); [financeMD/damodaran/blog/2026/07/country-risk-drivers-measures-and.md](https://financeMD.com/damodaran/blog/2026/07/country-risk-drivers-measures-and.md) (2026-07-15); Valuation/docs/sources/bafb6h9rb.txt (2026-09-14); Valuation/docs/plan.md, section 10.1 (2026-09-14)

5.2 3.2 Pablo Fernandez (IESE): there is no “the” risk premium, and beta is noise

The claim. Professionals do not agree on the market risk premium, and a historical beta says almost nothing about a future beta.

The papers. “CAPM: An Absurd Model” (October 2014), SSRN 2505597, Spanish original SSRN 2499455: “it is an enormous error to use the historical beta as a proxy for the expected beta.” “CAPM: The Model and 307 Comments About It”, SSRN 2523870, where 234 of 307 respondents agreed with “absurd”. The annual surveys, for example “Market Risk Premium Used in 82 Countries in 2012: A Survey with 7,192 Answers”, doi 10.2139/ssrn.2084213.

Why it matters. The equity risk premium (ERP) is the single most important input. The surveys show professionals in one country in one year using widely different values. If the key input has no consensus, “the” value of a company is not a well-defined quantity.

His reply. He uses bottom-up betas, an average across an industry, precisely because single-firm regression betas are noise. He uses an implied ERP solved from today’s prices, not a survey. Read honestly, both are concessions, not refutations. He also disowned “total beta”, a spin-off of his own work, which “has taken on a life of its own and is being used in ways I never intended” (BVWire, 26 April 2012).

What the app will do. Betas will come from his industry tables, stamped with an industry vintage id. For India the fallback chain will be India, then emerging markets, then Global, switching when an industry has fewer than 10 firms. Today 27 of 94 Indian industry rows are that thin, and every run will print which table it used.

Source: the Report, Part 3.2 (2026-09-14); Valuation/docs/sources/bkdrkpfng.txt, section 6 (2026-09-14)

5.3 3.3 Fama and French (1992): the beta and return relation is flat

The claim. Once you allow for company size, average stock returns show no reliable relation to beta.

The paper. Eugene Fama and Kenneth French, “The Cross-Section of Expected Stock Returns”, *Journal of Finance* 47(2): 427 to 465, 1992. <https://onlinelibrary.wiley.com/doi/10.1111/j.1540-6261.1992.tb04398.x>. Their words: “when the tests allow for variation in β that is unrelated to size, the relation between market β and average return is flat.”

Why it matters. Every Damodaran cost of equity is the risk-free rate plus beta times ERP, plus a CRP where needed. If beta does not track realized returns, the discount rate is a convention, not a measurement. Counter-attacks exist: Berk 1995 on theory, Kothari and others 1995 on data, Kim 1995 on econometrics, Jagannathan and Wang 1996 on a conditional CAPM. Nobody, however, has restored the simple CAPM.

His reply. The Report records none. His practice is the answer: industry betas, plausibility bands for the cost of capital, and ranges rather than points.

What the app will do. It will show the cost of capital as a labeled convention with its parts visible, checked against his plausibility bands from Data Update 5 for 2026, with a Monte Carlo range (the spread of results from re-running the model many times with inputs drawn at random) beside the point value.

Source: the Report, Part 3.3 (2026-09-14); Valuation/docs/plan.md, section 10.5 (2026-09-14)

5.4 3.4 Terminal value dominance and input sensitivity: his own published ranges

The claim. One or two inputs, especially those feeding the terminal value, can swing a DCF (discounted cash flow model) result tenfold.

Terminal value is the value of every cash flow beyond the forecast years, folded into one number. In a ten-year model it is usually the largest piece. There is no canonical paper. The strongest evidence is a table of his own published ranges.

Date	Company	The single change	The move
25 Mar 2014	Tesla	Sales-to-capital ratio set to 10	About \$110 to \$302 per share; his comment: “Magical, right?”
26 Apr 2018	Amazon	Prime fee \$99 to \$119 per year	About \$100 per share added
6 Feb 2020	Tesla	Same day, four named stories	\$106, \$111, \$227, \$298, \$333, \$459, \$855, \$2,106 per share
Dec 2014	Uber	Reader-chosen inputs in his crowd template	Under \$1bn to about \$100bn; the post states \$799 million to \$90.5 billion

Why it matters. The sales-to-capital ratio is revenue earned per dollar invested, and it sets how much growth costs. A small change there, or in terminal growth, moves the biggest block of value. A beginner sees one precise number and forgets the 20-fold range behind it.

His reply. He publishes the ranges as a feature. On the Uber table he wrote that readers may find their fear “that they can be used to deliver whatever number you want, vindicated, but that is not the way I see it.”

What the app will do. It will always show the range, never only the point. The terminal value’s share of total value and a sensitivity table will be on every screen. The golden case, Almarai at 7.187840270062114 per share against a price of 72.28, pins the terminal cost of capital to the risk-free rate plus the mature-market ERP. The sheet label saying “+4.5%” is misleading, and the engine will not copy it.

Source: the Report, Part 3.4 and Part 6 item 5 (2026-09-14); [financeMD/damodaran/blog/2014/03/return-to-firing-line-revisiting-tesla.md](https://financeMD.com/damodaran/blog/2014/03/return-to-firing-line-revisiting-tesla.md) (2014-03-25); [financeMD/damodaran/blog/2018/04/amazon-glimpses-of-shoeless-joe.md](https://financeMD.com/damodaran/blog/2018/04/amazon-glimpses-of-shoeless-joe.md) (2018-04-26); [financeMD/damodaran/blog/2020/02/a-do-it-yourself-diy-valuation-of-tesla.md](https://financeMD.com/damodaran/blog/2020/02/a-do-it-yourself-diy-valuation-of-tesla.md) (2020-02-06); [financeMD/damodaran/blog/2014/12/up-up-and-away-crowd-valuation-of-uber.md](https://financeMD.com/damodaran/blog/2014/12/up-up-and-away-crowd-valuation-of-uber.md) (2014-12); Valuation/docs/sources/bkdrkpfn.txt (2026-09-14)

5.5 3.5 Mauboussin and Rappaport: run the model backwards

The claim. Forecasting cash flows is the weakest link, so start from the price, extract the expectations it implies, and judge whether those are achievable.

The book. Michael J. Mauboussin and Alfred Rappaport, *Expectations Investing: Reading Stock Prices for Better Returns*, revised edition, Columbia Business School Publishing, 2021. Reviewed by the CFA Institute’s *Enterprising Investor*, 2022: <https://rpc.cfainstitute.org/blogs/enterprising-investor/2022/book-review-expectations-investing>. About ten free tutorials and a reverse-DCF spreadsheet live at expectationsinvesting.com.

Why it matters. A reverse DCF is the same model run the other way. It turns an unfalsifiable point (“worth \$427”) into a testable operating claim (“this price requires \$600 to 800bn of revenue at margins above 20%”). That is anti-forecast, not anti-DCF.

His reply. He does this himself. His November 2021 Tesla post is the clearest case, and the most defensible thing in his Tesla arc. Justifying the market value, he wrote, “will require a real stretch.”

What the app will do. Every memo will compute the reverse DCF first: keep margin and cost of capital fixed, solve for the year-10 revenue the price implies, convert it to an implied market share, and run that share through the 3P test from Chapter C1.

Source: the Report, Part 3.5 and Part 6 item 1 (2026-09-14); financeMD/damodaran/blog/2021/11/teslas-trillion-dollar-moment-valuation.md (2021-11); Valuation/docs/plan.md, section 10.5 (2026-09-14)

5.6 3.6 Marcos López de Prado: discretionary valuation is not science

The claim. A valuation built by hand cannot be falsified, so it is not a scientific claim.

The papers. “Causal Factor Investing: Can Factor Investing Become Scientific?”, SSRN 4205613. “Pseudo-Mathematics and Financial Charlatanism” (Bailey, Borwein, López de Prado and Zhu, *Notices of the AMS*, 2014) and “The Probability of Backtest Overfitting”. *Advances in Financial Machine Learning* (Wiley, 2018), which you own at ~/Downloads/finance-and-valuation/Advances in Financial Machine Learning Marcos Lopez de Prado.pdf, with a markdown copy in financeMD.

Why it matters. A backtest tests a rule on past data. With enough trials on one dataset, an attractive result appears even in random data, so he asks that every trial be reported. Against Damodaran the sharp form has three parts: no out-of-sample test, no record of how many input sets were tried, and no failure criterion, since “the price converges eventually” can never be wrong on a finite horizon.

His reply. Partial but real. He timestamps and publishes every valuation before the outcome, publishes the spreadsheet, and reports his losses. That is closer to preregistration, meaning declaring your test before you run it, than most of the industry manages.

What the app will do. The Almarai golden test at 1e-6 makes the implementation falsifiable even though the forecast is not. Every screen will carry the banner “The engine is tested (Almarai 1e-6). The forecast is not.” Every run will be stored with its inputs, an input hash and three vintage ids. From M4 an accuracy scoreboard will record the realized price at 90, 180 and 365 days, and compute bias and variance by sector, region and vintage. That is the record of trials he asks for.

Source: the Report, Part 3.6 and Part 6 item 2 (2026-09-14); Valuation/docs/plan.md, sections 5 (M4) and 10.1 (2026-09-14)

5.7 3.7 Cliff Asness and AQR: cheapness works, except when it does not for a decade

The claim. The systematic evidence for cheapness is strong, and single-name story valuation is the weakest way to harvest it.

The record. “Is (Systematic) Value Investing Dead?” (AQR, May 2020) measured the value spread, the price gap between cheap and expensive stocks, as the widest ever, beyond the 2008 crisis and the dot-com peak. In 2025 Asness said, “basically, every aspect of what we do is working, with the exception of famous value investing.” He remains “really confident” at a three-year horizon, with the spread near late-1990s extremes.

Why it matters. AQR supplies the most honest counter to the Tesla and Nvidia record. Being right on value and early is, over any investable horizon, indistinguishable from being wrong. That sentence is the thesis of this whole reader.

What the app will do. The scoreboard will measure at fixed horizons, so “eventually” gets a date. A test will reject any output containing advice words.

Source: the Report, Part 3.7 (2026-09-14); Valuation/docs/plan.md, section 10.1 (2026-09-14)

5.8 3.8 Cathie Wood and ARK versus Damodaran on Tesla

The claim. Tesla is not a car company, so its worth lies far above anything a car-company DCF can reach.

The record, as history. In February 2018 ARK published a figure of \$4,000 per share, before the splits. It was widely mocked and reached ahead of schedule. In January 2020 ARK projected \$7,000 by 2024, about \$1,400 after the splits. In June 2024 ARK published \$2,600 by 2029 or 2030 and reaffirmed it through 2025, while Tesla traded around \$240 to \$320 in 2025.

His reply. ARK’s work was “a forward pricing for Tesla, not a valuation”, with no discounted cash flows and incomplete scaling costs. The robotaxi line of about \$1 trillion “strikes me as more fairy tale than valuation.”

Scorecard. Wood wins 2018 to 2021 decisively. Damodaran wins 2022 to 2026, and his method point has aged well: a figure with no discounting and no charge for capital is a pricing, not a valuation.

What the app will do. Every driver in a memo will link to a named story line, following the workbook’s “Stories to Numbers” sheet, and every claim will pass the 3P gate. Pricing and valuation will be labeled as different things, as Chapter C6 explains.

Source: the Report, Part 3.8 (2026-09-14); financeMD/damodaran/blog/2019/06/teslas-travails-curfew-for-corporate.md (2019-06-03)

5.9 3.9 Bill Gurley: twice, from both directions

The claims. In 2014, that Damodaran picked the wrong total addressable market (TAM) for Uber. In 2016, that his own industry’s private marks were not prices.

The record. “How to Miss By a Mile” (11 July 2014) is Chapter 4, episode 1. “On the Road to Recap” (21 April 2016), <https://abovethecrowd.com/2016/04/21/on-the-road-to-recap/>, counted unicorns rising from about 80 in February 2015 to 229 in January 2016, with zero VC-backed tech IPOs in the first quarter of 2016. His line: “the last round is not the permanent price.”

Why it matters. Gurley beat Damodaran with a better narrative and the same discipline, then turned that skepticism on his own side. He is not a growth cheerleader. He is a better storyteller.

His reply. He emailed Gurley, re-ran his own model on Gurley’s story, got \$54bn instead of \$5.9bn, and published both spreadsheets.

What the app will do. A second, opposing memo per company will be mandatory. The memo table will carry a story_kind field with values base and opposing. The plan calls this the “Gurley field”.

Source: the Report, Parts 3.9 and 2.5 (2026-09-14); financeMD/damodaran/blog/2014/07/possible-plausible-and-probable-big.md (2014-07-16); Valuation/docs/plan.md, sections 1 and 10.3 (2026-09-14)

5.10 3.10 Nassim Taleb: the distributions are wrong

The claim. Financial returns have fat tails, meaning extreme moves are far more common than a bell curve allows, so sample averages, variances and regressions are unreliable.

The book. *Statistical Consequences of Fat Tails: Real World Preasymptotics, Epistemology, and Applications* (2020), free at <https://arxiv.org/pdf/2001.10488>.

Why it matters. Three hits. A historical ERP is the average of a fat-tailed series, so its error bar is enormous. A regression beta is a ratio of variances, so it is unstable, which is Fernandez's point from another direction. Monte Carlo runs with normal or triangular inputs understate the tails. His Paytm simulation gave a "3% chance the equity is worth nothing", and the realized fall was about 70% within a year.

The balance. Critics of Taleb say he confuses statistical extremeness with economic significance. Damodaran's truncation term, an explicit failure probability times a recovery value, is a crude but real fat-tail bolt-on.

What the app will do. Failure probability and the recovery fraction will be visible inputs, from workbook cells B51 to B54, where the default recovery is 50%. Monte Carlo draws will come from the workbook's industry quartile tables rather than a bell curve. Even so, the UI copy will say the range understates the tails.

Source: the Report, Part 3.10 (2026-09-14); Valuation/docs/sources/bkdrkpfng.txt, Input rows B51 to B54 (2026-09-14)

5.11 3.11 Andrew Lo: the premium is not a constant

The claim. Market efficiency and risk premia drift with the mix of participants, their learning and the environment, so no premium is a fixed parameter.

The work. *Adaptive Markets: Financial Evolution at the Speed of Thought* (Princeton, 2017); "The Adaptive Markets Hypothesis: Market Efficiency from an Evolutionary Perspective", SSRN 602222; Lo and Zhang, *The Adaptive Markets Hypothesis* (Oxford University Press, 2024).

Why it matters. One stamped "mature market ERP" is a convenience, not a measurement. One 2026 US snapshot already carries three risk-free rates (3.95%, 4.58% and 4.75%) and three premiums (4.46%, 4.23% and 4.20%), depending on which of his files you open; the guide's database chapter pairs them. His 15 July 2026 post derives the 4.20% as a 4.42% implied ERP minus the 0.22% default spread for the US Aa1 rating, with a 1.55 scalar for equity against bond volatility.

What the app will do. Every run will stamp three vintage ids, market, country risk and industry, and show them. A number with no vintage will be refused. The regime panel will show the September 2026 implied ERP of 4.09% and expected return of 8.84% as dated readings, never as constants.

Source: the Report, Part 3.11 and Part 6 item 6 (2026-09-14); financeMD/damodaran/blog/2026/07/country-risk-drivers-measures-and.md (2026-07-15); Valuation/docs/sources/btzaixzyh.txt, regime spec (2026-09-14)

5.12 3.12 Ben Thompson and Aggregation Theory: the narrative critique from the other side

The claim. Aggregators own the customer relationship and turn suppliers into commodities, so a DCF that pulls their margins toward an industry average is biased against them by construction.

The essays. “Defining Aggregators” (2017), <https://stratechery.com/2017/defining-aggregators/>, and “Neither, and New: Lessons from Uber and Vision Fund” (2019), <https://stratechery.com/2019/neither-and-new-lessons-from-uber-and-vision-fund/>.

Why it matters. This is not “DCF is bad”. It is “your convergence defaults encode a theory of competition that may not fit this business”. The default margin path and the sector sales-to-capital ratio quietly deny the mechanism that makes an aggregator valuable. That is fixable in software.

What the app will do. The margin the model converges to, the year of convergence (workbook cell B30, default 5) and the sales-to-capital source will be selectable and labeled with the theory each encodes. No silent sector median. Stratechery is a paid newsletter, so it will be stored as `link_only` and never ingested.

Source: the Report, Part 3.12 and Part 6 item 4 (2026-09-14); Valuation/docs/sources/bkdrkpfng.txt, Input row B30 (2026-09-14)

5.13 3.13 The 2024 to 2026 debate cluster

These arguments are live as of September 2026. The Report drew them from the web and from his 2026 posts.

Debate	His position	The other side	Status, Sep 2026
AI TAM	Ceiling about \$26tn, realistically far less; AI product revenue about \$250bn against \$1.7tn of capital spending (capex)	xAI bankers: \$22tn TAM; OpenAI and Anthropic valuations toward \$2tn	Unresolved; Anthropic annual recurring revenue (ARR) \$65bn, OpenAI about \$40bn, both growing fast, Anthropic \$10 to 15bn below estimates
AI macro	Framework first, refuses a point scenario	Citrini Research (22 Feb 2026): unemployment above 10%, market down 40% by June 2028, private credit collapse	Unresolved; drove a real market drop
Private credit	“Setting itself up for a beating”; contagion risk	Private-credit sponsors funding data centers	Unresolved
Conviction and concentration	Conviction is not a virtue	Aschenbrenner’s Situational Awareness fund	Resolved against the other side: up 450%, then a 67% loss on the public book in 4 weeks, then a forced sale to Citadel
Rates and equities	Higher rates do not lower all stocks equally; it depends on sector and cash-flow timing	The reflexive “rates up, stocks down” trade	Live, Sep 2026 (US debt above \$40tn, Warsh Fed)

Debate	His position	The other side	Status, Sep 2026
VC scaling	Scaling and profitability trade off; VC's weakest link	Vinod Khosla	Live

What the app will do. The market-regime panel will be descriptive only. Like him, it will refuse a point scenario and print his own market-timing caveats on the panel.

Source: the Report, Part 3.13 (2026-09-14); financeMD/damodaran/blog/2026/08/ais-bar-mitzvah-moment-from-hype-hope.md (2026-08-20); financeMD/damodaran/blog/2026/08/the-situational-awareness-blow-up.md (2026-08-10); Valuation/docs/plan.md, section 10.7 (2026-09-14)

5.14 What he got right, in one list

His usual reply to a critique is “I know, and here is my workaround.” Fairness requires the list.

- Bottom-up industry betas, because single-firm betas are noise (Fernandez).
- An implied ERP solved from prices, not a historical average (Taleb, Lo).
- An explicit failure probability with a recovery value (Taleb).
- Published ranges 20 times wide, and public spreadsheets before the outcome (López de Prado).
- Re-running his own model on an opponent's story (Gurley).
- The method objection to a pricing without discounting (ARK).
- A country-risk table that works across 180 countries when nothing else does (Kruschwitz, Löffler and Mandl).

Source: the Report, Parts 3.1 to 3.11 (2026-09-14)

5.15 The map from critique to feature

Critique	App response	Milestone
CRP has no theory	Country-risk vintage id; risk-free net of default spread	M2, India in M4
No consensus ERP, beta is noise	Industry betas, fallback chain printed, Monte Carlo range	M2, M4
Beta and return flat	Cost of capital shown as a labeled convention with plausibility bands	M2
Input sensitivity	Range always; terminal-value share; sensitivity table	M2, M4
Invert the model	Reverse DCF computed first in every memo	M2
Not falsifiable	Golden test at 1e-6; stored runs; scoreboard at 90, 180, 365 days	M2, M4
Right and early equals wrong	Fixed-horizon scoring; no advice test	M4

Critique	App response	Milestone
Not a valuation	Every driver linked to story; 3P gate	M2
Better story beat him	Mandatory opposing memo	M2
Fat tails	Visible failure inputs; quartile-based draws; honest UI copy	M4
Premia drift	Three vintage ids on every run	M2
Convergence bias	Labeled, selectable convergence and sales-to-capital sources	M4

Source: the Report, Part 6 (2026-09-14); Valuation/docs/plan.md, sections 5 and 10 (2026-09-14)

6 *The Other Side, Chapter 4: Twelve Episodes*

This chapter is a scoreboard. It lists twelve times someone took the opposite view from Damodaran and the record shows who was closer. It also lists the times he was right, because a list of defeats alone would be propaganda, not research.

Read it the way you would read a sports table. Each row has a date, an opponent, the bet, the outcome, and what he said afterwards. The numbers come from his own blog posts wherever possible. Two episodes (Facebook 2012 and the Nvidia cut of January 2025) fall in years missing from the local corpus, so those come from the live web, as the research report notes.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 4 and corpus gap warning, compiled 2026-09-14)

6.1 *Words you need before the table*

Each of these appears in the table. They are defined once here.

Term	Plain meaning
Value	What a business is worth, estimated from the cash it will produce. Damodaran's whole method is about this.
Price	What the market is paying today. Price and value can differ for years.
Value per share	Total value of the company's equity divided by the number of shares. Compare it with the share price.
Market cap	Market capitalisation. The share price times the number of shares, so the price the market puts on the whole company.
TAM	Total addressable market. The total yearly spending a company could possibly capture. Think of it as the size of the pie.

Term	Plain meaning
Network effects	A product gets more useful as more people use it. A taxi app with more drivers attracts more riders, and the reverse.
Stock split	A company divides each share into several. The price per share falls, but the company's value does not change. Old prices must be adjusted to compare with today.
Sum of the parts	Valuing each business inside a company separately, then adding them up.
IPO	Initial public offering. The day a private company first sells shares to the public and starts trading on an exchange.
Optimists	People who expect the price to go up. Markets call them bulls.
Equity risk premium (ERP)	The extra return investors demand for owning stocks instead of safe government bonds.
Country risk premium (CRP)	An extra return added on top of the ERP for investing in a riskier country.
Beta	A number that measures how much a stock moves when the whole market moves.
CAPM	The formula that turns beta into a required return. Cost of equity equals risk-free rate plus beta times ERP.
Failure probability	The chance the company dies before it reaches maturity. Damodaran adds this as a separate number.
Conviction	Certainty that you are right. In investing it is often used with borrowed money, which raises the stakes.

Source: Valuation/docs/sources/bkm2kob5x.txt (Parts 1 and 3, compiled 2026-09-14)

6.2 *The twelve episodes*

Prices in the table are the prices at the time, before any later stock split. The notes after the table explain the split adjustments.

#	Date	Opponent	The bet	Outcome	His response
1	Jul 2014	Bill Gurley (Benchmark, Uber board)	Uber's TAM is the \$1.3tn car-ownership market, not the \$100bn taxi market. Network effects give a dominant share. Implied value about \$148bn against Damodaran's \$5.9bn.	Gurley, on direction and size. Uber listed at about \$82bn in 2019 and was about \$150bn in Sep 2026.	Emailed Gurley to say he loved the post. Re-ran his own model on Gurley's story and got \$54bn. Published both spreadsheets. Wrote that Gurley's version "has the advantage over mine". Taught the case in class.
2	2013 to 2021	Tesla optimists, Cathie Wood, Ron Baron	Tesla is not a car company. Robotaxis and energy give it huge extra upside.	The optimists, overwhelmingly. He exited his shares at \$640 on 30 Jan 2020. The stock passed \$900 within days and about \$1,200 by Nov 2021.	"An Ode to Luck" (Jan 2020). "You may not believe me, but I don't" have regrets (Feb 2020). Then, in Jan 2023, that with hindsight he had clearly timed his exit wrong. In Nov 2023, that he had exited too soon.
3	2014 to 2021	Amazon optimists	Margin growth, AWS and Prime justify any multiple.	The optimists. His values of \$175 (2014), \$1,019 (Apr 2018) and \$1,255 (Sep 2018) were all far below the price path.	Moved to a three-part sum-of-the-parts model in 2018. Admitted he had not been able to justify the price at any point in the previous five years.

#	Date	Opponent	The bet	Outcome	His response
4	2023 to 2025	Nvidia optimists	The AI chip market is far bigger, and Nvidia's share far stickier, than his model allows.	The optimists in 2023 and 2024. Value \$240 against price \$409 (Jun 2023); he exited half his shares. Value \$87 against \$106 (Sep 2024); he exited a quarter more. Value \$78 against \$123 (Jan 2025).	"I am at peace" with the 2023 decision and "I left money on the table" but "I am going to count that as a win and move on!" Cut the value again after DeepSeek.
5	Oct 2021 to 2023	Macquarie analyst Suresh Ganapathy	Paytm is worth about ₹1,200 a share, not Damodaran's ₹2,000. Macquarie later cut its figure to ₹900, ₹450 and ₹275.	Macquarie, decisively. Paytm traded at ₹713 by Jul 2022.	He volunteered the miss himself, unprompted, inside his Zomato 2022 post.
6	2021 to 2026	Zomato and Blinkit optimists, Goldman Sachs	Quick commerce (grocery delivery in minutes) is where the value is, not food delivery.	The optimists. His values were ₹41 (2021) and ₹35.32 (2022). The company, renamed Eternal, reached an all-time high of ₹311.6 and a ₹3 trillion market cap. Goldman valued Blinkit alone at \$13bn.	He had modeled the Blinkit purchase as lowering value per share, from ₹40.79 to ₹35.32. No public retraction appears in the local corpus yet.

#	Date	Opponent	The bet	Outcome	His response
7	Feb 2013	David Einhorn (Greenlight)	A new class of preferred shares (iPrefs) would unlock billions of value at Apple.	Einhorn, on the corporate action. Apple committed to about \$100bn more in share repurchases and dividends by 2015.	“There will be NO value created.. none..” (8 Feb 2013). Ten weeks later he called the cash plan “vindication for those (like David Einhorn)” (30 Apr 2013).
8	2012 to 2021	Facebook optimists	Advertising on phones would work.	Split. He won until Sep 2012: the IPO priced at \$38, his value was about \$27, and the price fell to \$17.55. He lost the decade: Meta passed \$380 in 2021.	The 2012 posts are missing from the local mirror. A CNN op-ed (28 May 2012) and the July 2013 post cover both ends.
9	2017 to 2026	Bitcoin owners	Bitcoin is an asset class you can value.	The owners, on returns. About \$5,600 in Oct 2017, six figures since.	His framework is unchanged: bitcoin is a currency, so you can price it but not value it. He republishes it every year, most recently in “Data Update 3 for 2026: The Trust Deficit”. He never predicted a fall in its price.

#	Date	Opponent	The bet	Outcome	His response
10	2012	Kruschwitz, Löffler and Mandl (academics)	The country risk premium has no theoretical or empirical basis.	Split. Academia agrees with them. Practice adopted his 192-country table anyway, including this project's pipeline.	A formal reply in Business Valuation Review 31: 85 to 86. A standing defense: any better method "will have to work across 180 countries".
11	2009 to 2015	Pablo Fernandez (IESE)	There is no agreed market risk premium (7,192 survey answers, 82 countries). Historical beta is useless. CAPM is "absurd" (234 of 307 respondents agreed).	Fernandez, on the descriptive claim.	His implied ERP and bottom-up betas are, read honestly, concessions to the critique rather than refutations.
12	2024 to Jul 2026	Leopold Aschenbrenner (Situational Awareness fund)	Own AI stocks, bet against software stocks, use borrowed money, act with high conviction.	Won, then lost catastrophically. Up about 450% through late June 2026. The public stock book lost 67% in four weeks. Forced liquidation to Citadel. Principal down 43% overall.	A 10 Aug 2026 post arguing that conviction is not a virtue, and that "what the market gives easily, it also takes away just as easily".

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 4 table, with figures from Parts 2 and 3, compiled 2026-09-14)

Source for the quoted lines checked in the local corpus: financeMD/damodaran/blog/2014/07/possible-plausible-and-probable-big.md (2014-07-16); financeMD/damodaran/blog/2020/

02/a-do-it-yourself-diy-valuation-of-tesla.md (2020-02-06); financeMD/damodaran/blog/2023/01/tesla-in-2023-return-to-reality-start.md (2023-01-26); financeMD/damodaran/blog/2013/02/financial-alchemy-david-einhorns-value.md (2013-02-08); financeMD/damodaran/blog/2013/04/apple-calm-after-storm.md (2013-04-30)

6.3 Notes a beginner needs on the table

6.3.1 Split adjustments

Old prices look huge next to today's prices because of stock splits. Tesla split 5-for-1 in Aug 2020 and 3-for-1 in Aug 2022, which is 15-for-1 in total. His 2019 entry at \$180 is \$12 in today's shares. The Nov 2021 peak near \$1,200 is about \$410. Nvidia split 10-for-1 in Jun 2024, so his \$240 value is about \$24 today. Amazon split 20-for-1 in Jun 2022, so his \$1,019 is about \$51. Apple split 4-for-1 in Aug 2020.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 2.1 to 2.4, compiled 2026-09-14)

6.3.2 Episode 1 is the model for your app

The Uber episode matters more than the others. Damodaran did not just lose. He took his opponent's story, ran it through his own spreadsheet, and published a value nine times higher than his own. The two stories side by side taught more than either number alone. Chapter 6 turns this into a feature called the opposing narrative field.

Source: financeMD/damodaran/blog/2014/07/possible-plausible-and-probable-big.md (2014-07-16)

6.3.3 Episodes 5 and 6 are the India pair

These two show the model failing in both directions, in the same market, in the same quarter. On Paytm his value was too high by a factor of nearly three against a simpler analyst model. On Zomato his value was too low by a factor of more than seven against the later peak. Neither error came from arithmetic. Both came from the story that fed the arithmetic.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 2.7, compiled 2026-09-14)

6.3.4 Episodes 10 and 11 are about your cost of capital sheet

These two are not about a company. They attack the inputs every valuation uses: the risk premium, the country premium and beta. Chapter 3 covers the arguments. The point for the table is that his answers to both are partial. He kept the constructs, made them more forward-looking, and admitted their crudeness in print.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 3.1 to 3.2, compiled 2026-09-14)

6.4 Honorable mentions: the ones he won

6.4.1 WeWork, 2019

In September 2019 he wrote about how newly listed companies inflate their TAM. He noted that, if you believed the filings, Uber's TAM was \$5.71 trillion and WeWork claimed \$3 trillion of office-space opportunity. In November 2019 he analyzed SoftBank's rescue of WeWork as a sunk-cost problem.

Sunk cost means money already spent that should not influence a new decision. SoftBank then wrote down its WeWork stake by \$4.6 billion. Both posts are in the local corpus.

Source: [financeMD/damodaran/blog/2019/09/insights-on-vc-pricing-lessons-from.md](#) (2019-09-17); [financeMD/damodaran/blog/2019/11/the-softbank-wework-end-game-savior.md](#) (2019-11-15)

6.4.2 *The COVID series, 2020*

Between 26 Feb 2020 and 5 Nov 2020 he wrote fourteen “Viral Market” posts, all in the local corpus. He kept valuing companies through the crash. He published the implied ERP as it moved, reaching 6.01% on 1 Apr 2020. He added to his positions during the fall. On 24 Apr 2020 he published data showing the market was punishing cheap, high-dividend stocks more than expensive ones. He called that “disappointing news for value purists”. Publishing evidence against your own side is the behavior this whole reader is looking for.

Source: [Valuation/docs/sources/bkm2kob5x.txt](#) (Part 2.9, compiled 2026-09-14); [financeMD/damodaran/blog/2020/04/a-viral-market-update-vii-mayhem-with.md](#) (2020-04-24)

6.4.3 *The ARK argument, 2022 to 2026 (a half win)*

Cathie Wood’s projections for Tesla beat his values from 2018 to 2021. From 2022 onward the record turned. ARK reiterated a \$2,600 projection for 2029 or 2030 in Jun 2024, while Tesla traded around \$240 to \$320 in 2025. His methodological point has aged well: a projection with no discounting and no charge for capital is a price forecast, not a valuation. His price calls did not age as well. Both facts belong in the table.

Source: [Valuation/docs/sources/bkm2kob5x.txt](#) (Part 3.8, compiled 2026-09-14)

6.5 *What the scoreboard actually says*

Three patterns run through the twelve rows.

- He is usually right about the short run and wrong about the decade. Facebook, Amazon and Tesla all fit this shape.
- His errors are story errors, not arithmetic errors. Uber’s TAM, Tesla’s factory output and Blinkit’s worth were all narrative calls.
- He publishes every valuation before the outcome and then publishes the scorecard. Almost nobody else in the field does this.

The AQR view supplies the harshest fair summary. Being right on value and early is, over any horizon you can actually invest through, indistinguishable from being wrong. That sentence is why your app must score its own valuations later, which Chapter 6 explains.

Source: [Valuation/docs/sources/bkm2kob5x.txt](#) (Parts 2.6, 3.6 and 3.7, compiled 2026-09-14)

6.6 *Gaps to fix before the app quotes this chapter*

The local blog mirror has 803 posts covering 2008 to 2011, 2013 to 2024 and 2026. It has no 2012 and no 2025. The Facebook IPO valuation (Feb 2012) and the DeepSeek Nvidia cut (Jan 2025) live in those holes. Backfill both years before the librarian indexes this reader, or the chat will guess around them.

Source: Valuation/docs/sources/bkm2kob5x.txt (corpus gap warning and Local files used, compiled 2026-09-14)

7 *The Other Side, Chapter 5: Reading Order*

This chapter is the reading list for the critics' side, arranged for a beginner. It has 17 items. Every item is free unless the table says otherwise. The lengths are the research report's estimates for a careful first pass.

Think of it as a syllabus for one course. You would not read a textbook's chapters in the order the author wrote them. You would read the easy, concrete ones first and the hard, abstract ones last. The order at the end of this chapter does that.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 5, compiled 2026-09-14)

7.1 *Two words before the list*

A "deck" is a set of presentation slides, usually a PDF. Damodaran teaches from decks, so his shortest free material is in this form.

"SSRN" is the Social Science Research Network, a free archive of academic papers. Each paper has a number. To open one, put the number at the end of this address: https://papers.ssrn.com/sol3/papers.cfm?abstract_id= followed by the number. That address pattern appears in Damodaran's own posts.

A "Monte Carlo" run is a simulation that draws each uncertain input from a range many times and reports the spread of resulting values; item 13 is about how those input ranges are chosen.

Source: financeMD.com/damodaran/blog/2014/06/a-disruptive-cab-ride-to-riches-uber.md (2014-06-09, the SSRN link pattern)

7.2 *The 17 items*

The report writes some URLs in shorthand. Where it does, the full address below is expanded from the complete form given elsewhere in the same report, or from the canonical URL stored in the local corpus file's front matter. Blog posts follow the pattern <https://aswathdamodaran.blogspot.com/2014/06/a-disruptive-cab-ride-to-riches-uber.html>.

#	Item	URL	Length	Why, in one line
1	Damodaran, "The Dark Side of Valuation" core deck	https://pages.stern.nyu.edu/~adamodar/pdfiles/country/darkside.pdf	~40 slides, 45 min	The thesis in its shortest legal free form
2	Damodaran, Dark Side full seminar deck (2012)	https://pages.stern.nyu.edu/~adamodar/pdfiles/country/darkside2012full.pdf	~200 slides, 3 h	The whole book as slides, free

#	Item	URL	Length	Why, in one line
3	Dark Side 3rd edition preface and chapter map	https://pages.stern.nyu.edu/adamodar/New_Home_Page/DSV3/dsv3edpreface.html	10 min	Tells you which chapter covers which failure mode
4	Tesla, 4 Sep 2013	https://aswathdamodaran.blogspot.com/2013/09/valuation-of-week-1-tesla-test.html	30 min	The first miss, with every assumption exposed
5	Tesla, three posts: 3 Jun 2019, 30 Jan 2020, 6 Feb 2020	https://aswathdamodaran.blogspot.com/2019/06/teslas-travails-curfew-for-corporate.html ; https://aswathdamodaran.blogspot.com/2020/01/an-ode-to-luck-revisiting-my-tesla.html ; https://aswathdamodaran.blogspot.com/2020/02/a-do-it-yourself-diy-valuation-of-tesla.html	90 min	Entry at \$180, exit at \$640, stock at \$900 a week later. The whole argument in three documents

#	Item	URL	Length	Why, in one line
6	The Uber trilogy: Damodaran 9 Jun 2014, Gurley 11 Jul 2014, Damodaran 16 Jul 2014	https:// aswathdamodaran. blogspot.com/ 2014/06/ a-disruptive-cab- ride-to-riches- uber.html ; https:// abovethecrowd. com/2014/07/11/ how-to-miss-by- a-mile-an- alternative-look- at-ubers- potential-market- size/ ; https:// aswathdamodaran. blogspot.com/ 2014/07/possible- plausible-and- probable-big.html	2 h	The single best 2 hours in this field. Read all three in order, in one sitting
7	Gurley, “On the Road to Recap”	https:// abovethecrowd. com/2016/04/21/ on-the-road-to- recap/	30 min	The same skepticism turned on private company valuations. “The last round is not the permanent price”
8	Fernandez, “CAPM: An Absurd Model”	SSRN 2505597	~15 pages, 45 min	Short, blunt, and about the exact number in your cost-of-capital sheet
9	Fernandez, Market Risk Premium survey (any year)	SSRN 2084213 and later years	skim the tables, 20 min	Look at the dispersion column. That is the whole argument

#	Item	URL	Length	Why, in one line
10	Kruschwitz, Löffler and Mandl, “Damodaran’s CRP (country risk premium): A Serious Critique”, plus his reply	SSRN 1651466 ; Business Valuation Review 31: 85 to 86	10 pages plus 2 pages, 1 h	The only formal academic attack on the exact table your India pipeline uses. Do not use the ivc-forum.org PDF link; it now redirects off-domain
11	Fama and French (1992), “The Cross-Section of Expected Stock Returns”	https://onlinelibrary.wiley.com/doi/10.1111/j.1540-6261.1992.tb04398.x	39 pages, hard, 3 h	The beta problem at its source. Skim the tables if the statistics are too much on pass one
12	Mauboussin and Rappaport, Expectations Investing (revised 2021), plus free tutorials	expectationsinvestingbook.com (tutorials free; book paid)	book ~250 pages; tutorials 2 h	The best constructive alternative: solve for what the price assumes instead of forecasting
13	Taleb, Statistical Consequences of Fat Tails, chapters 1 to 3	https://arxiv.org/pdf/2001.10488	60 pages of a long book, 3 h	Why your Monte Carlo’s input distributions are the weakest part of the model
14	Bailey, Borwein, López de Prado and Zhu, “Pseudo-Mathematics and Financial Charlatanism” (Notices of the AMS, 2014), plus López de Prado, “Causal Factor Investing”	free ; SSRN 4205613	10 pages plus 40 pages, 2 h	Why an untested, unregistered valuation is not evidence, and what would make it one
15	Asness, “Is (Systematic) Value Investing Dead?” (AQR, May 2020)	aqr.com/Insights/Value-Investing	30 min	The best statement of “right and early is indistinguishable from wrong”

#	Item	URL	Length	Why, in one line
16	Damodaran 2026 trio: “AI Scenarios” (4 Mar), “The Situational Awareness Blow-up” (10 Aug), “AI’s Bar Mitzvah Moment” (20 Aug)	https://aswathdamodaran.blogspot.com/2026/03/ai-scenarios-from-economic-doomsday-to.html ; https://aswathdamodaran.blogspot.com/2026/08/the-situational-awareness-blow-up.html ; https://aswathdamodaran.blogspot.com/2026/08/ais-bar-mitzvah-moment-from-hype-hope.html	3 h	Live fire. All three are in your local corpus already
17	The “Viral Market Meltdown” series (parts I to VI) and its continuation “A Viral Market Update” (parts VII to XIV), Feb to Nov 2020	financeMD/damodaran/blog/2020/	6 h	The counter-example: the method working under maximum stress, including data against his own side

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 5 table; full URLs from Parts 1, 2.5, 2.10 and 3, compiled 2026-09-14); financeMD/damodaran/blog/2019/11/the-softbank-wework-end-game-savior.md (front matter shows the canonical blog URL pattern, 2019-11-15)

7.3 The suggested order

The report’s order puts the concrete cases first, the constructive alternative in the middle, and the hard statistics last. Follow the steps in this table from top to bottom.

Step	Item	What you get at this step
1	1	The thesis, in 45 minutes of slides
2	4	One full valuation, with the miss visible
3	5	The same company six years later, including his own reversal

Step	Item	What you get at this step
4	6	The centerpiece. Two stories, one model, a nine-times difference
5	7	The same critic turning on his own industry
6	15	Why being early and right can look like being wrong
7	12	The fix: run the model backwards from the price
8	8	The attack on beta, in 15 pages
9	9	The attack on the risk premium, in one table column
10	10	The attack on the country premium your pipeline uses
11	16	The 2026 debates, still live
12	3	The chapter map, now that you know what the chapters are for
13	13	Why the input distributions matter
14	14	What “tested” would have to mean
15	11	The beta problem at its academic source
16	17	The method working, under stress, for six hours of reading
17	2	The full seminar deck, as revision

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 5, “Suggested order for a beginner”, compiled 2026-09-14)

7.4 Time budget

Adding the report’s per-item estimates gives about 30 hours. That excludes the Mauboussin and Rappaport book, which is paid and about 250 pages. At five hours a week the list takes six weeks. The Uber trilogy (item 6) is the one block that should not be split across days.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 5 length column, summed, compiled 2026-09-14)

7.5 Where each item lives, and what the app may do with it

This matters for the librarian (the search index the app builds over your documents). Chapter 6 explains the rule. In short, some sources may be indexed and some may only be linked.

Items	Where	May the app index it?
4, 5, 6 (the two Damodaran posts), 16, 17 1, 2, 3	Already in the local corpus as markdown Damodaran's site, as PDF decks or a web page	Yes. Damodaran's own site is public material Yes, but the three decks are image-heavy. They need OCR (software that reads text out of pictures), not a plain PDF-to-text pass
6 (Gurley), 7	abovethecrowd.com	Yes, per the report's licensing line
8, 9, 10, 14 13	SSRN author-posted copies arXiv	Yes, as open access Yes, as open access
15	AQR Insights	Yes, per the report's licensing line
11	Wiley journal page	Read it. Check the access terms before indexing; the report does not list Wiley as ingestible
12	Tutorials free; book paid	Tutorials, check terms. Book is link-only

Two warnings. First, the widely shared free PDF of item 10 at ivc-forum.org now redirects to an unrelated domain; do not fetch it. Second, items 4 to 6 and 16 to 17 are in the corpus, but the corpus is missing 2012 and 2025, so nothing from those years is available locally.

Source: Valuation/docs/sources/bkm2kob5x.txt (Part 1 ingestion note, Part 3.1 link hygiene, Part 6 licensing line, compiled 2026-09-14)

7.6 How to read these as a beginner

- Read with the model open. Items 4, 5 and 6 each link to a spreadsheet. Change one input and watch the value move.
- Keep a two-column note for each item: what the critic claims, and what Damodaran conceded. Chapter 4's table is the template.
- Skip the equations on the first pass of items 11, 13 and 14. Read the tables and the conclusions. Return to the equations after your statistics coursework starts.
- When a post gives a value and a price, write both down with the date. Later, look up the split-adjusted price (the old price rescaled for any stock splits since, so that it is comparable with today's per-share price). That habit is the whole scoreboard idea from Chapter 6.

Source: Valuation/docs/sources/bkm2kob5x.txt (Parts 2.1, 3.4 and 5, compiled 2026-09-14)

8 The Other Side, Chapter 6: What This Means for the App

Chapters 1 to 5 collected the case against the method your system copies. This chapter turns that case into rules for the build. Each rule names the critique it answers. Think of the critiques as crash reports and the rules as the seat belts fitted afterwards. Nothing beyond the documents is built yet, so every rule says "will".

Sources. “Report” means Valuation/docs/sources/bkm2kob5x.txt (compiled 2026-09-14). “Plan” means Valuation/docs/plan.md. “Document A” means Valuation/docs/read-this-first.md. “blog/” means financeMD/damodaran/blog/.

Source: Report, Part 6 (2026-09-14).

8.1 The rules at a glance

#	Rule	The critique it answers	Read it in
1	Reverse DCF before forward DCF	Mauboussin and Rappaport; López de Prado	Chapter 3
2	Log every run with a timestamp, score it later	López de Prado, “no out-of-sample test”	Chapters 2 and 3
3	Opposing narrative field, mandatory	Gurley on Uber, July 2014	Chapter 4, episode 1
4	Terminal-value share and convergence as labeled inputs	Thompson’s aggregation theory; input sensitivity	Chapter 3
5	Always the range, always the truncation probability	His own 20 times grid; Taleb on fat tails	Chapters 2 and 3
6	Vintage-stamp everything, show the stamp	Andrew Lo’s drifting premium	Chapter 3
7	The banner: engine tested, forecast not	López de Prado	Chapter 3
8	The licensing line	Corpus and reading-list hygiene	Chapters 0 and 5
9	Estimates and ranges, never advice	Every episode in Chapter 4	Chapter 4

Source: Report, Part 6 (2026-09-14).

8.2 Rule 1: the reverse DCF comes first

A forward DCF forecasts cash flows and turns them into a value. A reverse DCF starts from today’s price and solves for the assumptions that price needs. Mauboussin and Rappaport call the result “price-implied expectations”. Forecasting is the weakest link, so start from the one thing you know, the price.

The Report says this turns an unfalsifiable number into a testable claim. “Tesla is worth \$427” cannot be checked today. “The price requires \$600 to 800 billion of revenue at margins above 20%” can be argued about now. Damodaran did this himself in his November 2021 Tesla post.

So every valuation screen will answer “what does the price require?” before “what is it worth?”. The memo writer will compute the reverse DCF first, then run the implied market share through the possible, plausible, probable test.

Source: Report, Parts 3.5 and 6, item 1 (2026-09-14); Expectations Investing, revised edition, 2021, reviewed at <https://rpc.cfainstitute.org/blogs/enterprising-investor/2022/book-review-expectations-investing> ; blog/2021/11/teslas-trillion-dollar-moment-valuation.md (2021-11-09); Plan, section 10.5.

8.3 Rule 2: log every valuation with a timestamp and score it later

López de Prado's charge has three parts. A discretionary DCF has no out-of-sample test. It keeps no record of how many input sets were tried. And "the price will converge eventually" cannot be proven wrong on any finite horizon. Damodaran's partial answer is that he publishes every valuation before the outcome and reports his own losses. The Report calls that closer to preregistration than most of the industry. Preregistration means writing your prediction down before you see the result.

The Report puts it bluntly: the most credible thing in his 803 posts is the habit of publishing first and grading later. The app copies it. A `valuation_run` table will store the as-of date, every input, the output and the three vintage ids. After 90, 180 and 365 days a job will record the realized price. The scoreboard will then show bias (average signed error) and variance (its spread).

Source: Report, Parts 3.6 and 6, item 2 (2026-09-14); Document A, section 6; Plan, sections 10.3 and 10.6.

8.4 Rule 3: the opposing narrative field is mandatory

On 9 June 2014 Damodaran valued Uber's equity at \$5.895 billion, on a \$100 billion taxi market. On 11 July 2014 Bill Gurley published "How to Miss By a Mile", arguing the market was \$1.3 trillion of car ownership. On 16 July 2014 Damodaran re-ran his own model on Gurley's story and got \$54 billion. He wrote that Gurley's story "has the advantage over mine". The pair taught more than either number alone.

So every company will carry two memos, a base story and an opposing one, marked `story_kind = opposing`. The pipeline will refuse to finish without it. Two stories, two values, one screen.

Source: Report, Parts 2.5 and 6, item 3 (2026-09-14); blog/2014/07/possible-plausible-and-probable-big.md (2014-07-16); <https://abovethecrowd.com/2014/07/11/how-to-miss-by-a-mile-an-alternative-look-at-ubers-potential-market-size/> (2014-07-11); Plan, section 1, item 4.

8.5 Rule 4: terminal-value share and convergence are labeled inputs

Terminal value is the value of all cash flows after the forecast years, folded into one number. Convergence is the assumption that a company's margins drift toward an industry average. Ben Thompson's aggregation theory says some companies own the customer relationship and get stronger with scale. A model that quietly pulls their margins to a sector median denies what makes them valuable.

The Report calls this the most useful critique for the product, because software can fix it. The margin the model converges to, and the source of the sales-to-capital ratio (how many rupees or dollars of revenue each unit of invested capital produces; a high number means growth needs little reinvestment), will be editable inputs labeled with the theory they encode. The screen will also show what share of value sits in the terminal value. His own posts show why. Sales-to-capital set to 10 moved his Tesla value from about \$110 to \$302 on 25 March 2014. A Prime fee change from \$99 to \$119 added about \$100 per share to Amazon on 26 April 2018.

Source: Report, Parts 3.4, 3.12 and 6, item 4 (2026-09-14); <https://stratechery.com/2017/defining-aggregators/> (2017); Plan, section 10.5.

8.6 Rule 5: always show the range, and make the truncation probability explicit

On 6 February 2020 Damodaran published a do-it-yourself Tesla grid. Same company, same day, values from \$106 to \$2,106 per share. He published a 20 times range as a feature. A single point estimate in the app would be less honest than the source.

Truncation probability is the chance the company fails before reaching stable growth. Taleb's critique is that Monte Carlo runs (re-running the model thousands of times with inputs drawn at random from assumed ranges) with normal or triangular input shapes understate the tails. The Report's example is Paytm: the simulation gave a 3% chance the equity was worth nothing, and the stock fell about 70% within a year. The balancing view is that the truncation term is a crude but real fat-tail bolt-on. So the app will always show the range and the sensitivity table, with the failure probability and recovery assumption as named inputs.

Source: Report, Parts 3.4, 3.10 and 6, item 5 (2026-09-14); [blog/2020/02/a-do-it-yourself-diy-valuation-of-tesla.md](#) (2020-02-06, "\$2,106/share"); Document A, section 3.5.

8.7 Rule 6: vintage-stamp everything, and show the stamp

A vintage is one dated snapshot of Damodaran's tables. Andrew Lo's adaptive markets hypothesis says risk premiums drift as the people in the market change and learn. So a single "mature market ERP" is a convenience, not a constant. The 2026 data alone carries three risk-free rates, 3.95%, 4.58% and 4.75%, and three equity risk premiums (ERPs, the extra return investors demand for holding stocks over a risk-free bond), 4.20%, 4.23% and 4.46%. The Report says this is not a data bug. It is Lo's critique made concrete. His own 15 July 2026 update shows the drift: the 4.20% mature premium is a 4.42% implied ERP minus the 0.22% US Aa1 default spread.

Every run will store three vintage ids, market, country risk and industry. The database will refuse a run without all three. The screen will show the stamp, not just store it.

Source: Report, Parts 3.11 and 6, item 6 (2026-09-14); Document A, section 3.2; Plan, section 10.1.

8.8 Rule 7: the banner

The Almarai golden test is the engineering answer to López de Prado. The engine must reproduce 7.187840270062114 per share within 0.000001 before any code merges. That makes the implementation falsifiable even though the forecast is not. The scoreboard page will carry one banner: "The engine is tested (Almarai 1e-6). The forecast is not."

Source: Report, Part 3.6 (2026-09-14); Document A, sections 3.1 and 6.

8.9 Rule 8: the licensing line

A license class is a label saying what the app may do with a fact. The Report's line is short. Stratechery and the books are link-only, never ingested. SSRN author-posted PDFs, arXiv, AQR Insights, abovethecrowd.com and Damodaran's own site are ingestible, with source and license class stamped on every fact. The librarian's index refuses `link_only`, `licensed_personal` and `proprietary_personal`. Chapter 5 applies this item by item. The [ivc-forum.org](#) copy of the country risk critique now redirects off-domain and must never enter a crawl list.

Source: Report, Part 6 licensing line and Part 3.1 (2026-09-14); Document A, section 3.3.

8.10 Rule 9: estimates and ranges, never advice

Every episode in Chapter 4 is a person acting on a number, and the number being wrong, sometimes in his favor and sometimes not. So the app prints estimates only: value, price as a percentage of value, the probability that value is below price, what the price requires, and how past calls did. A test scans every memo, report and chat answer for recommendation language. A critic's published figure is quoted as history, nothing more.

Source: Plan, section 10.1, "No advice"; Document A, section 3.6.

8.11 What he got right, and why the rules are mostly his

Fairness requires one closing note. Most of these rules copy Damodaran's own best habits: publish before the outcome, publish the spreadsheet, publish the range, publish the scorecard, re-run the rival's story, admit the miss. The critics supplied the theory. He supplied the practice. The app makes the practice mandatory instead of optional.

Source: Report, Parts 2.5 and 3.6, and Part 4, the honorable mention (2026-09-14).